Seed → POC → 25000 – 500,000 → SAFE, Crowd, Angels, Early stage VC

Startup → Product Development → 500 – 3m → Angel, groups, venture capital

A → Scaling → VC

B → Working capital → VC + PP

C → Expansion → VC, PP, PE

Bridge → IPO → Mezzanine; PP; Investment Bank

Angel → Coach
→ Operator
→ Just write checks

1. Source Deals
2. Deal screening
3. Preliminary Due Diligence

Pitchbook

Entrepreneurial Strategy

Tyler Tennings

PE

Peterson

Kickstart

Pelion

* Matt – exits
  → Relion

* Mayor Brown

Brian Murphy

Venture Deals

+

Packet

Slab?

Rolling?

Sandbox

Angels — Sevenny Andrews

↳ Exit 3-7 medium 4 years

↳ Board seat

↳ Equity position 10-25%

Stage 2

Raising Funds from PE firms

VC

Raise
Finance
Purchase
control
Add

Have

take
liquidate

preferred stock
↳ voting rights

Board seat

VC firm structure

General Partners

Principal Associates

Admin Staff

PE

PE firm

kickstart

funds

Investors

Companies

first 3 years half

GP general partner

2% management fee

LP investors

Limited partner

fund 1

companies

Economics of VC firms

management fees

- 2-2.5% of committed capital
- cover the costs of management the committed capital

Decision Making Process

Typically unanimous

Sector

Stage

Size of fund

Geography

VC want

Class notes - Jan 22nd - Venture Capital

Spencer Clawson - Peterson Partners

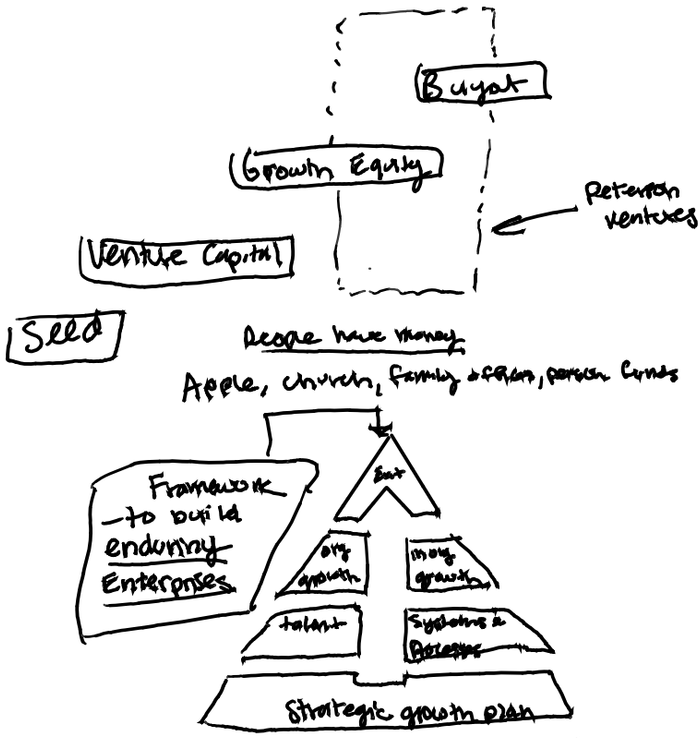
- Search fund - VC - Buy out
  - 3 yrs PWC B.S in accounting
  - Rob - Sorenson
  - Noah Garret - grant lester MBA
- The person matters the most
  High Ego, High Humility
  convos

Album - 1
Run - 1
Pelon - 2
Utah - CWI
Peterson - 2

Peterson

2.8 Bn assets under management
20 years - 400 investments in
Search - ETA - Peterson funded.
PE - Develop Products - Expanding Working capital
- Acquisitions, hire ramp

150 million → Biggest



growth and buyout
↳ more debt, lower multiples

Seed venture
- many checks
- Community funding

growth Buyout
- one check

Buyout

MOIC multiple expansion

Lenders give more leverage to PE firms
Bank debt → 2.25 3.50 or 12%

Personal Advice

- Assume 80% of people are going through things
- Most interesting

Pre

Gavin Christensen — VC/PE

Northwestern — MBA

Venture Capital for startups

fund 1 — 8
2 — 26
3 — 39
4 — 71
5 — 110
6 — 145

0-1 Book

Alex Soffe

Dalton Wright

Kat Kennedy

V-spring → deep dysfunctional

presed → seed

Spoke Him

Lead investor

ownership → 10-15%

Maintain most

Strong follow on

20-30 Bets perfun

20% presed → seed

50% follow on ratio

Source

Hunt for exceptional founders + startups

Return capital

Select

Perform due diligence

negotiate terms

Support

provide strategic guidance

connections to help

portfolio companies grow

to exit

① Alignment

company investors institution

fundraise

Attract & secure capital

Kickstart Labs

Campus founders fund

DPF?

Exceptional

Gritty

obsessed

successful

no narcotic

dedication

Founder opportunity cost

J-curve

venture ↓ negative IRR

1.) fees

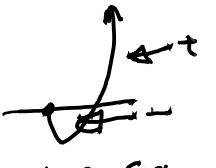
2.) writedowns

+

−

fees

writedowns



Cash on Cash returns

— 4-5 years

Class Notes - Jan 29th - VC

- ☐ Pitch events 2-3
- ☐ Tom Peterson call
- ☐ Abe call
- ☐ Felix call

Toolbox

Term sheet

Investment cycle

Exec summary
Pitch
Business plan → Preliminary Diligence → Valuation → Term sheet → "Deep Dive" Diligence: Marketing, legal, product, Team → Investment memo → Closing Documents → Governance → Exit Options

- ☐ campus founders club
- ☐ gavin startup people

What we do? → Who we are? → How we make money?

How much are we asking?

Secret Sauce tech ← Product Demo ←

Be ✓
Jo ✓
Ta ✓
Ji ✓
Ma ✓
Kristi ✓
Ethan ✓
Max ✓

Market analysis → Competitive Assessment → GTM Strategy

E, Ab, T, J, C, A
J, C, A

Business Model
Financials

VC

- Scarcity of Data
- no profit

PE

- Reams of Data
- long track record
- long list of customers
- master excel model

milestones
- eye surgery
- Thorax
- Dental
- Physical therapy
- Funeral homes

ABC rounds

D?
SMB?

Due Diligence

VC

- Sell or go public
- needs to return the fund
- 5x-8x earnings

Buyout is multiple of EBITDA

PE

Valuation

2 million w/ X% w/ 1,2,3 (ABC)

in 5 years to return the fund

need 20 million

10 → 2.5 → 5% → 20 million ? ?

$\frac{(X)(.03)}{.03} = \frac{20m}{.03}$

Pre money - H w/o your money

Post money - G w/ your money in ce

$\frac{2000}{3}$

≈ 680 M

Control term - Home by 10pm

Exit term - Chase = 5 dollars

Board structure

3 - 5 - 7 - 9

Liquidation preference ?

1x participating preferred

↳ 5% gets 5% exit

- ☐ Mr. Sergeant
- ☐ ZM
- ☐ JG
- ☐ Lint MBA
- ☐ Lint old

Anti Dilution

8
2

LO post protection me - Anti dilution - Lower → valuation ↓ → doesn't impact

Dividends - lifestyle business

No stop clause

NVCA

Economic Terms

pay to play — you have to write a check

Price

Vesting

Option pool

Anti dilution

Pay along - protection against bad players

Liquidation preference

Redemption rights

Right of first refusal - leaders

Company wants stakeholder discount